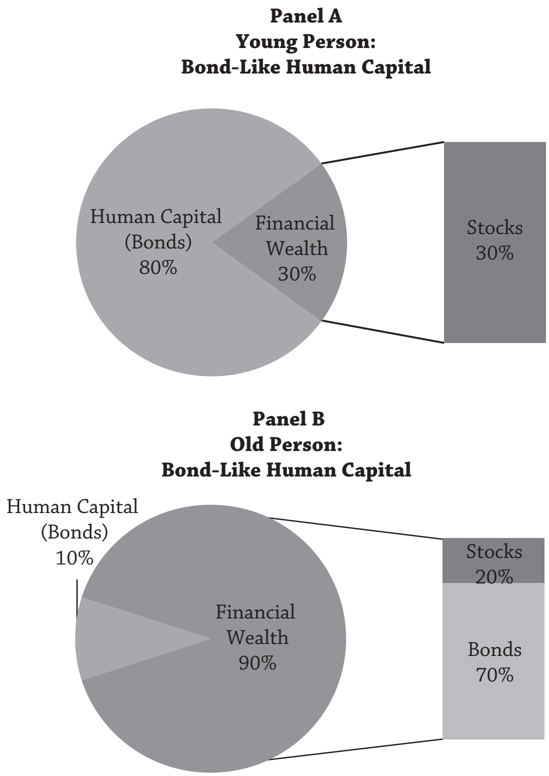

Figure 5.3

chart in Panel A of Figure 5.3. Although the young person holds 20% in equities as a fraction of total wealth, his equity allocation as a fraction of financial wealth is 100%. If human capital is bond-like, this young person should hold a large fraction of equities.

Now take this person when he is old and nearing retirement. We'll assume that his total wealth is the same, at $1 million, but most of it is now financial wealth; the investor has transferred his human capital to financial capital over his working career. His balance sheet is now:

Old Person	
Human Capital (Bonds)	$ 100,000
Financial Wealth: Stocks	$ 200,000
Financial Wealth: Bonds	$ 700,000
Total	$1,000,000
Equity Fraction of Total Wealth	20%
Equity Fraction of Financial Wealth	22%